



state, and increased the price of a ₹25-lakh unit to ₹27.5 lakh. Further, the area that can be used for commercial development in an affordable housing project has also been increased to 8 per cent of the land from 4 per cent earlier.

These measures have neutralised the overall rise in the cost of affordable homes in Haryana. "In the residential homes segment, I feel the 10-15 per cent price hike that has already been affected has been absorbed by the market," says Aggarwal. According to him, there is a positive sentiment prevalent in the residential real estate market after the pandemic due to a surge in demand from actual home occupiers and not just investors. It has become a major factor in helping the sector tide over the crises so far.

According to a recent analysis by Housing.com, lack of demand in the sector since 2013 had kept the price of residential units stagnant. It was only in FY2021-22 that developers managed to increase prices amid better demand. "Since 2013, prices of residential units have increased at the fastest pace in the last financial year—growing by 7 per cent. Our analysis indicates an uptick of approximately ₹400-500 per sq. ft in construction costs in the top eight cities. As the profit margins are thinning, developers have no option but to pass on this increase to the homebuyers. Several notable developers have increased their residential prices with effect from April. If the situation continues, the hike in property prices may impact the recovery rally of the sector for the coming quarters," says Ankita Sood, Head of Research at Housing.com.

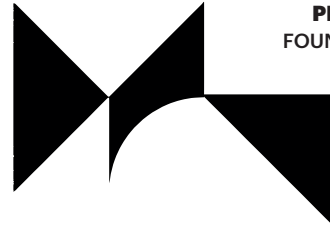
Experts like Desai of JLL say that while companies do plan for uncertainties and keep a buffer in their cost planning, the exorbitant rise—to the tune of 40-100 per cent—was beyond anybody's estimate. However, the ongoing phenomenon has the potential to cut both ways—by impacting the supply of residential properties and its demand too—in the market. In the past two years, the affordable synergy that the market and the overall ecosystem have offered to the homebuyers has led to a significant surge in demand for homes. From record low home loan interest rates and reduced registration fees to stagnant home prices, fence-sitters have been greatly incentivised to take the leap. But with unsold inventory coming down gradually and new supplies getting delayed due to record high costs, eventually homes will become premium again.

"We normally factor in a 4-5 per cent rise in the cost of construction in any commercial project as a contingency. We had written our budget; after Covid-19 we had to renegotiate and rewrite our budget and reset our numbers. There is very little opportunity to do any value engineering now, as it may dilute the product," says Jayakumar of RMZ. Amid chal-



In the past three months, the cost of construction has jumped by 5-7 per cent, in addition to the 4-5 per cent rise in the previous six months

PRADEEP AGGARWAL
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Currently the supply is low and the demand is high. It is becoming unfeasible to run the business with such a high cost of raw materials

NAYAN RAHEJA
DIRECTOR, RAHEJA DEVELOPERS

